

Cash flow Quadrant Explained

4 WAYS TO PRODUCE INCOME

EMPLOYEE

HAVE A J.O.B.

(If they won't work
they won't get paid)

BUSINESS OWNER

OWN A SYSTEM

(They hire people
who work for them)

SELF-EMPLOYED

OWN A J.O.B.

(They work for themselves
but still if they won't work
work you won't get paid)

INVESTOR

OWN INVESTMENTS

They generate money
from money often call
Passive income.

E - Employee

- ❑ **E quadrant** belongs to employee who has a job. This is where most people earn their income. Employee can make little or lot of money, but when employee stops working, or when the business stops, their income stops too.
- ❑ An Employee financial destiny, security and freedom is based upon the success of their employer.
- ❑ **Low Level – Middle Level – Top Level.**

S – Self Employed

- ❑ The **S quadrant** includes those people who prefer to work for themselves and prefer to be their own boss.
- ❑ Include dentist, lawyers, restaurant owners, insurance agents, property agents, sales person etc..
- ❑ Many self employed people generate large income and obviously they do have lot of control than an employee but when they stop working, their income also stops.
- ❑ Means in the **long run lead to tiredness and fatigue**.

B – Business Owner

- ❑ The **B quadrant** own a system and lead or supervise people, system automatically runs and owner of system or business earns money with out constant involvement.
- ❑ Sometimes same type of business could be run by **S owners and B owners**.
- ❑ Example:- If a person plead a case in court belongs to **S quadrant** and if he owns a law firm and junior counsel plead belong to **B quadrant**.

I – Investors

- ❑ **I quadrant** belongs to people who own assets that produce income, investors in this quadrant have usually accumulated money earned from one or more of the other three quadrants.
- ❑ Also called passive income. This obviously lead to greater growth in less hard work and obviously have more financial freedom.
- ❑ Those people
- ❑ Example:- share holders, business traders, property investors, social media influencer.

Best Quotes for Investment

- ❑ Investing in yourself is the best investment you will ever make. It won't only improve your life but also improve the life of your companions. (Robin Sharma)
- ❑ Improve your hard skills, middle skills, soft skills.
- ❑ If you have talent no one can take it or steal it or snatch it from you. (Warren Buffet).
- ❑ The best investment is the invest in yourself, the more you learn more you earn. (Warren Buffet).
- ❑ Your career is the engine of your wealth. (Warren Buffet).
- ❑ Given a 10% chance of 100 times payoff , you should take that bet every time. (Jeff Bezos, Former President and CEO of Amazon)

summary

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